Like we said before, don't panic. We'll go into much more detail about how to analyze your home as a rental, look for income potential, and think about the various aspects of cash flow in Chapter Four. For now, the important thing to know is that, as a homeowner, you should have a reasonable understanding of your property's performance if you were to move out and rent it out to others.

Whether or not you want to be someone else's landlord, you should at least consider the option when purchasing your home. If the property is primed to make more income than it costs, you're putting yourself in a great position to create wealth down the road.

Many people plan for the rental option but don't analyze the numbers properly. A home that "bleeds" (a morbid word for bringing rent that's less than the cost of maintenance) can be a huge drag on your finances and flexibility. You don't want to pay for a bleeding property that you're not even living in, so we'll pay close attention to these numbers in Chapter Four.

If the walls of your property are actually bleeding, the house is probably haunted. You should get that checked out.

EXIT STRATEGY NO. 3: SELL THE PROPERTY FOR A NET PROFIT

Because home prices tend to increase in line with inflation, a majority of buyers automatically expect their purchase to appreciate over the long term.

I'm sure you expect us to cause a fuss about this, but we don't actually think it's an issue. If you randomly select a home anywhere in the United States, buy it, and hold it for thirty years, then yes—over time, that home's value is likely to experience a 3.4 percent average annual increase. Certain markets across the country will wax and wane, but there's no reason to dispute the average historical rates.

The problem with relying on appreciation is the fact that it's not a smooth, continuous progression. Though we like to use 3.4 percent in a lot of our equations and estimates (like the $400,000 home that was worth $425,000 after two years), it's not actually that simple.